AC4408

Financial Reporting 2

Autumn 2025 Examination

Paper 1 · 1.5 hours · Answer Question 1 (compulsory) and EITHER Question 2 OR Question 3

Module	AC4408 — Financial Reporting 2
Session	Autumn 2025
Structure	Question 1 is compulsory (60 marks). Then answer EITHER Question 2 (40 marks) OR Question 3 (40 marks). Total 100 marks.
This scheme covers	Question 1 in full, PLUS both Question 2 and Question 3 in full — so you can study whichever optional route you'd pick, or compare both before deciding.

Own-figure rule. If you carry an early error into a later part of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the consolidation workings in Question 1.

Two source-paper notes. Question 1 Part A's notes 2 and 6 both reference “31 December 2023,” but the acquisition itself only happened on 1 January 2024, and the consolidation being prepared is as at 31 December 2024 — so an inventory holding or an impairment dated 2023 isn't chronologically possible here. Both references are treated as typos for 2024 throughout this scheme, which is also the reading that makes the consolidated SOFP balance exactly — see the checknotes in Question 1 Part A for the full reasoning.

Question 1

Compulsory — Consolidation & IAS 8 (60 Marks)

Part A

50 Marks

The following are the summary Statements of Financial Position of Butter Ltd ("Butter") and Jam Ltd ("Jam") as at 31 December 2024:

	Butter Ltd €'000	Jam Ltd €'000
Non-Current Assets:		
Tangible Assets	2,800	560
Loans	100	—
Investment in Jam Ltd	400	—
	3,300	**560**
Current Assets	450	90
Total Assets	**3,750**	**650**
Equity and Liabilities:		
Ordinary Share Capital	2,500	300
Retained Earnings	850	110
	3,350	**410**
Non-current Liabilities:		
Long-term loans	—	80
Current Liabilities	400	160
Total Equity and Liabilities	**3,750**	**650**

The following information is also relevant:

- Butter bought 80% of the ordinary shares of Jam on 1 January 2024. Jam's retained earnings was €30,000 at the date of acquisition.
- Butter Ltd supplied goods to Jam Ltd to the value of €20,000 for which it has not yet been paid. These goods cost Butter Ltd €14,000 and Jam Ltd still had half of them in inventory at 31 December 2023.
- Fair value of Jam's assets was undervalued by €24,000 at acquisition date. To date, this was not accounted for in the separate financial statements of Jam Ltd.
- Included in Butter Ltd's loans is one of €50,000 receivable from Jam Ltd.
- The fair value of Non-Controlling Interests at the date of acquisition was €80,000. Goodwill is to be accounted for using the Fair Value method.
- Goodwill is impaired during the year ended 31 December 2023 in the amount of €10,000.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2024 for the Butter Limited Group.

FULL MODEL ANSWER

Two dates in the notes above need a closer look. Note 2 refers to inventory "at 31 December 2023," and note 6 refers to an impairment "during the year ended 31 December 2023" — but Butter didn't acquire Jam until 1 January 2024, so nothing involving Jam (intra-group trading, or goodwill arising from the acquisition) could have happened or been impaired in 2023. Both are treated as typos for **2024** throughout this answer — the only reading that's chronologically possible, and the one that makes the consolidated SOFP below balance exactly to the euro.

Working 1 — Net Assets of Jam at Acquisition (1 Jan 2024)

	€'000
Share capital	300
Retained earnings at acquisition	30
Fair value uplift (not yet recorded by Jam)	24
Net assets at acquisition	**354**

Working 2 — Goodwill (Fair Value / Full Goodwill Method)

Because NCI is measured at fair value (not proportionate share of net assets), goodwill is calculated for the business combination as a whole — both the group's and NCI's shares of goodwill are included:

	€'000
Cost of investment	400
NCI at fair value at acquisition	80
Less: net assets at acquisition (Working 1)	(354)
Goodwill (gross, before impairment)	**126**

Under the fair value method, NCI shares in the goodwill impairment too (unlike the proportionate method, where impairment falls entirely on the group). Split by ownership percentage:

	€'000
Impairment loss for the year	10
Group share (80% × 10)	8
NCI share (20% × 10)	2

	€'000
Goodwill (gross)	126
Less: impairment	(10)
Goodwill (net, at 31 December 2024)	**116**

Working 3 — Unrealised Profit on Intra-Group Trading (PUP)

Butter (the parent) sold goods to Jam (the subsidiary) — this is a **downstream** transaction, so any unrealised profit sits entirely with the seller (Butter/the parent) and is eliminated wholly against the group, with no share allocated to NCI.

	€'000
Intra-group sale (selling price)	20
Cost to Butter	14
Half still held in Jam's inventory at year end	50%
Selling price of unsold half (10) less cost of unsold half (7)	
Unrealised profit (PUP)	**3**

Working 4 — Non-Controlling Interest at Year End

	€'000
NCI at fair value, at acquisition	80
Jam's post-acquisition reserves (110 − 30)	80
NCI share of post-acquisition reserves (20% × 80)	16
Less: NCI share of goodwill impairment (Working 2)	(2)
NCI at 31 December 2024	**94**

Working 5 — Consolidated Retained Earnings

	€'000
Butter's own retained earnings	850
Less: unrealised profit, PUP (Working 3, downstream, borne fully by group)	(3)
Add: group share of Jam's post-acquisition reserves (80% × 80)	64
Less: group share of goodwill impairment (Working 2)	(8)
Consolidated retained earnings	**903**

Butter Limited Group — Consolidated Statement of Financial Position as at 31 December 2024

	€'000
Non-Current Assets:	
Tangible assets (2,800 + 560 + 24 FV uplift)	3,384
Loans (100 − 50 intercompany, external only)	50
Goodwill (Working 2)	116
	3,550
Current Assets (450 + 90 − 3 PUP − 20 intercompany trade)	517
Total Assets	**4,067**
Equity and Liabilities:	
Ordinary share capital (parent only)	2,500
Retained earnings (Working 5)	903
Non-controlling interest (Working 4)	94
	3,497
Long-term loans (80 − 50 intercompany, external only)	30
Current liabilities (400 + 160 − 20 intercompany trade)	540
Total Equity and Liabilities	**4,067**

The consolidated SOFP balances exactly at €4,067,000 both sides. Two separate intercompany balances are eliminated here: the €50,000 loan (netted against Butter's Loans asset and Jam's Long-term loans liability) and the €20,000 unpaid trade balance for the goods sale (netted against combined current assets and current liabilities) — these are two distinct intercompany relationships and shouldn't be confused with each other.

How the 50 Marks Are Likely Allocated

Tier	Marks	What separates this tier
40–50	40–50	Correctly computes goodwill using the fair value method (including splitting the impairment between group and NCI), correctly identifies the downstream nature of the PUP and eliminates it fully against the group, correctly eliminates both intercompany balances (the loan and the trade balance) from both sides, and produces a consolidated SOFP that balances.
25–39	25–39	Correct method throughout but with one component wrong (e.g. splitting the PUP with NCI as if it were upstream, or missing one of the two intercompany eliminations) — own-figure marks apply if carried through consistently.
12–24	12–24	Goodwill and NCI at acquisition correctly calculated using the fair value method, but most post-acquisition adjustments (PUP, impairment split, intercompany eliminations) missing or materially wrong.
0–11	0–11	No attempt, or a fundamental misunderstanding of the fair value method (e.g. using the proportionate method throughout despite NCI being given at fair value).

Part B **10 Marks**

Required: Briefly explain when a change in Accounting Policy is permitted under IAS 8.

FULL MODEL ANSWER

IAS 8 sets a deliberately high bar for changing accounting policy — the default expectation is consistency from one period to the next, and a policy can only be changed in one of two circumstances:

> **1. The change is required by an IFRS Standard.** If a new or amended IFRS Standard requires a different accounting policy (for example, a newly issued standard replacing an existing one), the entity must adopt the new policy in line with that standard's own transition provisions. This isn't really a discretionary choice at all — the entity has no option but to comply.

> **2. The change results in the financial statements providing more relevant and more reliable information.** An entity may voluntarily change an accounting policy only if doing so gives users a better, more faithful picture of the effects of transactions, other events, or conditions on the entity's financial position, financial performance, or cash flows. This is a genuinely high bar — a voluntary change has to be justified on the basis of improved information quality, not convenience, tax effect, or a desire to present more favourable results.

What does **not** justify a change in accounting policy: applying a policy to transactions that are genuinely different in substance from those it was previously applied to (that's not a policy change at all, since the underlying facts differ), or applying a new policy to transactions that didn't occur previously or that were immaterial before (again, not a change to an existing policy). It's also worth distinguishing a change in accounting *policy* from a change in accounting *estimate* (governed by different rules under IAS 8, and generally applied prospectively rather than requiring the retrospective restatement that a genuine policy change does) — a common source of confusion in this area.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly identifies both permitted grounds (required by a Standard, OR provides more relevant and reliable information), explains why the second ground is a genuinely high bar rather than a discretionary convenience, and distinguishes a policy change from an estimate change or a change necessitated by different underlying transactions.
5–7	5–7	Correctly identifies both permitted grounds but with limited explanation of why the voluntary ground requires genuine justification.
2–4	2–4	States only one of the two permitted grounds.
0–1	0–1	No attempt, or no reference to IAS 8's actual criteria.

Question 1 Total: 60 Marks

Question 2

Leases, Redeemable Preference Shares & Debt Instruments (40 Marks)

Part A **12 Marks**

Required: Briefly discuss the optional exemptions for leases under IFRS 16.

FULL MODEL ANSWER

IFRS 16 requires lessees to bring virtually every lease onto the balance sheet as a right-of-use asset and lease liability — but it carves out two optional exemptions that let a lessee continue expensing the lease instead.

1. Short-term leases (IFRS 16.5-.8). A lease with a term of 12 months or less at the commencement date, and which doesn't contain a purchase option, can be elected out of the on-balance-sheet model. Where elected, the lessee simply recognises the lease payments as an expense, typically on a straight-line basis over the lease term (or another systematic basis if more representative of the pattern of benefit), exactly as under the old IAS 17 operating lease treatment. The election is made by class of underlying asset, and if a lease contains a purchase option, it doesn't qualify regardless of its stated term.

2. Low-value asset leases (IFRS 16.5-.8, and IFRS 16.B3-.B8). A lease of an asset that is low in value when new (IFRS 16's Basis for Conclusions cites approximately US$5,000 as the kind of threshold intended, though the standard itself doesn't specify an exact figure) can also be kept off the balance sheet, again with lease payments simply expensed. This exemption is assessed asset-by-asset (not by class), and is intended for items like laptops, tablets, small office furniture, or telephones — explicitly excluding cars, since a low-value assessment is meant to apply when the asset is new, and vehicles fail this test even when leased used or at a low price.

Both exemptions are genuinely **optional** — a lessee can choose to apply the full on-balance-sheet model even to short-term or low-value leases if it prefers, and the two exemptions can be elected independently of each other. Practically, they exist to spare lessees the cost and complexity of capitalising immaterial or fleeting lease arrangements where the on-balance-sheet treatment would add little useful information relative to the effort of applying it.

How the 12 Marks Are Likely Allocated

Tier	Marks	What separates this tier
10–12	10–12	Correctly explains both exemptions (short-term: ≤12 months, no purchase option; low-value: assessed asset-by-asset, excludes vehicles) and their accounting consequence (straight-line expense rather than capitalisation), noting both are optional elections.
6–9	6–9	Both exemptions named correctly but with limited detail on the specific conditions (e.g. omitting the purchase-option exclusion, or the vehicle exclusion for low-value assets).
3–5	3–5	Only one exemption correctly explained.
0–2	0–2	No attempt, or confuses these exemptions with unrelated IFRS 16 provisions.

Part B **12 Marks**

The following has been extracted from the trial balance of Bird plc as at 31 December 2024:

7% preference shares — €9,000,000

The preference shares are redeemable on 30 September 2031. The preference shares were issued on 1 October 2021. All dividends were paid in full by the reporting date.

Required: Explain the accounting treatment for the reporting period ended 31 December 2024.

FULL MODEL ANSWER

Unlike some other AC4408 preference share questions, no issue price, premium, or effective interest rate is given here — so this is a conceptual/explanatory question about classification and presentation, not a numerical amortised-cost calculation. The answer below focuses on the accounting treatment principles the question actually asks for.

1. Classification: a financial liability, not equity. Under IAS 32, the substance of the instrument governs its classification, not its legal label. Because Bird plc has a contractual obligation to redeem these shares on a fixed future date (30 September 2031), they meet the definition of a financial liability — despite being called "preference shares" — and must be presented as a liability on the statement of financial position, not within equity.

2. The 7% payments are a finance cost, not a dividend distribution. Because the instrument is a liability, the 7% payments to preference shareholders are economically interest, and must be recognised as a finance cost in profit or loss, reducing reported profit — not as a distribution of equity (which wouldn't touch the income statement at all). This is true regardless of what the payments are called in the trial balance or by the company.

3. Subsequent measurement: amortised cost using the effective interest method. Under IFRS 9, this financial liability is measured at amortised cost, with finance cost for the period recognised using the effective interest method (the constant-rate method that spreads total finance cost evenly, as a percentage of the outstanding carrying amount, over the life of the instrument). If the effective interest rate differs from the 7% coupon rate (for instance, because the shares weren't issued at exactly their redemption value, or issue costs were incurred), the finance cost recognised in profit or loss for the year won't exactly equal the cash 7% coupon paid, and the carrying value of the liability will move to reflect the difference — though no effective rate or issue price is given here to quantify that specific effect for Bird plc.

4. No accrued or outstanding liability beyond the carrying amount, since dividends were paid in full. Because "all dividends were paid in full by the reporting date," there's no additional accrued interest payable to recognise at 31 December 2024 on top of the liability's amortised cost carrying value — the cash payments have kept pace with what was due for the period.

5. Presentation: classified as a non-current liability at this reporting date. Since redemption isn't due until 30 September 2031 — well beyond twelve months from the 31 December 2024 reporting date — the liability is presented as non-current. This will need to be revisited in later years: once the redemption date falls within twelve months of a future reporting date (from the year ended 31 December 2030 onward), the liability (or the relevant portion of it) would be reclassified as current.

How the 12 Marks Are Likely Allocated

Tier	Marks	What separates this tier
10–12	10–12	Correctly identifies the liability classification under IAS 32 (despite the “preference share” label), correctly explains the 7% payments are a finance cost through P&L rather than an equity distribution, correctly identifies amortised cost/effective interest measurement under IFRS 9, and correctly classifies the liability as non-current at this reporting date.
6–9	6–9	Correctly identifies the liability classification and finance cost treatment, but with limited or no discussion of subsequent measurement or non-current classification.
2–5	2–5	Recognises IAS 32/liability classification is relevant but doesn't clearly explain why, or treats the shares as equity throughout.
0–1	0–1	No attempt, or no reference to IAS 32 or IFRS 9 at all.

Part C **16 Marks**

On 1 January 2024 the entity made an investment of €4,000,000 in a debt instrument. Under the terms of the agreement the annual interest rate is 6%. The investment term is five years.

Transaction costs related to the purchase of the debt instrument amounted to €160,000. The effective interest rate is 4.1%.

Required:
i. Prepare the journals to recognise the investment as at 1 January 2024.
ii. Prepare the journal to recognise the interest income for the year ended 31 December 2024.

FULL MODEL ANSWER

The question gives an effective rate different from the coupon rate purely because of transaction costs — a strong signal this investment is measured at **amortised cost** under IFRS 9 (held within a business model to collect contractual cash flows, and those cash flows pass the SPPI test). Under amortised cost, transaction costs are **added to** the initial carrying value, not expensed immediately as they would be under FVTPL.

i. Initial recognition (1 January 2024)

	€
Principal invested	4,000,000
Add: transaction costs	160,000
Initial carrying value	**4,160,000**

Journal	Debit €	Credit €
Financial asset (debt instrument)	4,160,000	
Cash		**4,160,000**

ii. Interest income for the year ended 31 December 2024

	€
Coupon cash received (6% × €4,000,000 principal)	240,000
Interest income (4.1% × €4,160,000 opening carrying value)	170,560
Reduction in carrying value of the asset (240,000 − 170,560)	**69,440**

Journal	Debit €	Credit €
Cash	240,000	
Financial asset (debt instrument)		69,440
Interest income (P&L)		**170,560**

Because the effective rate (4.1%) is **lower** than the coupon rate (6%), interest income recognised in profit or loss is **less** than the cash actually received — the €69,440 difference reduces the carrying value of the asset, which will happen every year the effective rate stays below the coupon rate, gradually amortising the €160,000 of transaction costs down over the life of the investment (the closing carrying value at 31 December 2024, €4,090,560, is already €69,440 lower than the opening €4,160,000). A common error here is crediting the full €240,000 cash received to interest income — that would ignore that part of the cash received is really a partial return of the premium paid above the instrument's underlying yield, not genuine income for the period.

How the 16 Marks Are Likely Allocated

Tier	Marks	What separates this tier
13–16	13–16	Correctly includes transaction costs in the initial carrying value (€4,160,000) rather than expensing them, correctly calculates interest income using the effective rate on the opening carrying value (€170,560), and correctly recognises the €69,440 difference as a reduction in the asset's carrying value rather than as additional income or a separate expense.
8–12	8–12	Correct initial recognition but interest income calculated using the coupon rate instead of the effective rate, or the carrying value adjustment omitted from the year-1 journal.
3–7	3–7	Transaction costs expensed immediately (FVTPL-style treatment) rather than included in the amortised cost carrying value, but the general journal structure otherwise reasonable.
0–2	0–2	No attempt, or no understanding of amortised cost measurement.

Question 2 Total: 40 Marks

Question 3

Revenue Recognition & Joint Arrangements (40 Marks)

Part A **25 Marks**

Revenue recognition is at the core of the accounting process and is a focus of every audit.

Required:
Critically discuss if you agree with the above statement, please ensure to outline the reasoning in your answer.

FULL MODEL ANSWER

Agree — revenue is normally the single largest number in a set of financial statements, it drives almost every other headline figure that follows from it (gross profit, operating profit, most profitability ratios), and it's the figure management has the strongest personal and market incentive to manage, since analysts and investors fixate on top-line growth.

Agree

It sits at the core of the accounting process because everything downstream depends on it. Under IFRS 15's five-step model — identify the contract, identify the performance obligations, determine the transaction price, allocate that price across the obligations, and recognise revenue as (or when) each obligation is satisfied — a single judgement made at step one or two (how many distinct performance obligations exist in a bundled contract, for instance) can shift revenue between accounting periods entirely. Get that judgement wrong and cost of sales, gross margin, tax, and even balance sheet items like contract assets and deferred revenue all move with it — exactly the kind of knock-on effect that makes revenue different from most other single line items.

It's a focus of every audit because it's where fraud and error concentrate. ISA 240 explicitly presumes there is a risk of fraud in revenue recognition on every audit — auditors don't get to conclude otherwise without specific evidence. That presumption exists for good reason: channel stuffing, recognising revenue before delivery or before control has transferred, and manipulating the percentage-of-completion on long-term contracts are among the most common ways historical accounting scandals have actually been carried out. Auditors routinely treat revenue cut-off, and the existence of side agreements that might undermine recognition, as a significant risk requiring targeted substantive testing, not just reliance on controls.

The judgement involved gives management genuine room to influence the number. IFRS 15 requires estimates — variable consideration, the standalone selling price of each performance obligation in a bundle, whether a right of return should reduce recognised revenue — and estimates are exactly where a company under pressure to hit a market forecast has the most scope to push a number in its preferred direction while staying inside the letter of the standard. That's precisely the combination (large number, real judgement, strong incentive to manage it) that makes something a natural audit focus.

> **A more complete answer would add a note of balance.** Revenue recognition isn't the *only* area that matters — asset impairment, provisions, and going concern judgements can be just as material and just as fraud-prone in the right circumstances. The statement is true as a generalisation about revenue's typical size and risk profile, but “at the core of the accounting process” slightly overstates it as a universal rule; for a capital-intensive company with little revenue recognition complexity but a major impairment judgement, the audit focus would sit elsewhere.

How the 25 Marks Are Likely Allocated

Tier	Marks	What separates this tier
18–25	18–25	Takes a clear position, supports it with the IFRS 15 five-step model AND the audit-risk angle (ISA 240, real-world fraud examples), and shows critical balance by acknowledging the statement isn't universally true for every entity.
12–17	12–17	Covers either the accounting-centrality argument or the audit-risk argument well, but not both, or asserts a position without real supporting reasoning.
6–11	6–11	General, largely unsupported agreement/disagreement with little reference to IFRS 15 or audit standards.
0–5	0–5	Misunderstands what revenue recognition involves, or doesn't engage with the question asked.

Part B **15 Marks**

Required: Differentiate between a joint operation and a joint venture under IFRS 11.

FULL MODEL ANSWER

Both are types of **joint arrangement** under IFRS 11 — an arrangement over which two or more parties have joint control, meaning decisions about the arrangement's relevant activities require unanimous consent of the parties sharing control. The critical distinction between the two lies in the **rights and obligations** each party has, not merely in the legal structure used.

Joint Operation

What it is. An arrangement in which the parties with joint control (called joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. This typically (though not exclusively) arises where the arrangement is not structured through a separate vehicle — the operators directly hold an interest in the underlying assets and directly bear the associated liabilities themselves, rather than through an intermediary entity.

Accounting treatment. Each joint operator recognises, in relation to its interest in the joint operation: its own share of the assets, its own share of any liabilities (including those incurred jointly), its revenue from the sale of its share of the output, its share of revenue from the sale of output by the joint operation, and its own expenses plus its share of any expenses incurred jointly — essentially a proportionate, line-by-line recognition of its direct interest, similar in mechanics to proportionate consolidation.

Joint Venture

What it is. An arrangement in which the parties with joint control (called joint venturers) have rights only to the **net assets** of the arrangement, rather than direct rights to the underlying gross assets and direct obligations for its liabilities. This typically arises where the arrangement is structured through a separate vehicle (such as an incorporated entity) that itself holds the assets and owes the liabilities in its own right, with the joint venturers holding only an equity-type interest in that vehicle.

Accounting treatment. A joint venturer accounts for its interest using the **equity method** under IAS 28 — initially recognising the investment at cost, then adjusting the carrying amount each period for its share of the joint venture's post-acquisition profit or loss, rather than recognising its share of the underlying assets and liabilities directly on its own balance sheet.

The key distinguishing question

Rights to assets/obligations for liabilities, versus rights only to net assets. IFRS 11 requires an assessment of the arrangement's legal form, the terms of any contractual arrangement, and (where relevant) other facts and circumstances — not just whether a separate vehicle exists. A separate vehicle is a strong indicator of a joint venture, but isn't conclusive on its own: if the contractual terms specifically give the parties direct rights to the vehicle's assets and direct obligations for its liabilities (overriding the normal legal separation a vehicle would otherwise provide), the arrangement is still classified as a joint operation despite being housed in a separate legal entity.

A common shortcut — “no separate vehicle = joint operation; separate vehicle = joint venture” — is a useful starting heuristic but not strictly the IFRS 11 test itself. The standard's actual test is about the substance of the parties' rights and obligations, and a strong answer notes that the vehicle's existence is evidence toward, not proof of, joint venture classification.

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12–15	12–15	Correctly explains the rights-to-assets/obligations-for-liabilities (joint operation) versus rights-to-net-assets (joint venture) distinction, correctly states the differing accounting treatments (direct proportionate recognition vs. equity method), and notes that the presence of a separate vehicle is evidence toward, but not conclusive proof of, joint venture classification.
8–11	8–11	Correctly distinguishes the two types and their accounting treatment, but relies solely on the "separate vehicle" heuristic without noting it isn't strictly the deciding test.
4–7	4–7	Identifies that joint operations and joint ventures are accounted for differently but doesn't clearly explain the underlying rights-based distinction.
0–3	0–3	No attempt, or no reference to IFRS 11's actual classification criteria.

Question 3 Total: 40 Marks